

BLOCKCHAIN COMPLIANCE REPORT

To:	Head of Compliance
Subject:	Suspicious Transaction Cluster Analysis - Elliptic Bitcoin Dataset
From:	Nkechi Ihewulezi [Blockchain Data Analyst]
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Executive Summary

A review of over 200,000 Bitcoin transactions from the Elliptic dataset identified a small group of transactions displaying movement patterns that are difficult to explain through normal financial activity. These transactions were not flagged because of who made them, but because of how they behaved specifically, how money moved through them and how quickly it was broken up and sent elsewhere.

Two behavioural patterns were examined: transactions that collect money from many sources and immediately pass it on to many recipients, and transactions that receive a single payment and split it into hundreds of smaller outgoing transfers. Both patterns are associated with deliberate attempts to obscure the origin of funds.

Three Highest-Risk Transactions

Transaction A (ref: 2984918)

This transaction received money from one source and immediately sent it to 472 different recipients, all within the same observed transaction window.

There is no straightforward commercial explanation for a single payment being split into nearly 500 outgoing transfers at once. This type of behaviour is commonly associated with services that deliberately break up large sums to avoid detection thresholds.

Transaction B (ref: 89273)

Similar to Transaction A, this payment arrived from a single source and was distributed to 288 recipients simultaneously. It appears at the very beginning of the observation period, which suggests it may have been operating in this manner for some time before the dataset was collected.

Transaction C (ref: 102570)

This transaction sent funds to 122 recipients at once and has never been reviewed or classified by any prior analysis. Its behaviour is identical to the two transactions above. The fact that it carries no historical risk label makes it a priority for immediate review.

Most Suspicious Cluster

Two transactions with references 38688623 and 91934616 stand out above all others because they display both patterns simultaneously. Each one collected money from roughly 95 different sources and, in the same instant, passed it on to 15 recipients. Collecting from many and immediately redistributing to many in a single movement is a recognised method for disguising the origin of

funds, commonly seen in cases involving money laundering infrastructure.

What makes this cluster particularly concerning is that both transactions are currently classified as clean in the dataset. This does not mean they are safe; rather, it suggests they have not previously been examined with this level of scrutiny.

“Historical licit classifications do not eliminate risk where transaction behaviour closely resembles known laundering typologies.”

Recommendations

1. Investigate the five flagged transactions as a priority.

The compliance investigations team should trace the full history of transactions 2984918, 89273, 102570, 38688623, and 91934616 to identify the real-world accounts and parties behind each one.

Owner: Compliance Investigations Lead.

Deadline: 5 business days.

2. Report the two dual-pattern transactions to the NFIU.

Transactions 38688623 and 91934616 display behaviour that meets the reporting threshold under Section 7 of Nigeria's Money Laundering (Prevention and Prohibition) Act 2022. A Suspicious Activity Report should be filed with the NFIU promptly.

Owner: Chief Compliance Officer.

Deadline: 10 business days.

One Important Limitation

The transaction data used in this analysis does not include names, account numbers, or any identifying information about the people or organisations behind each payment. The findings here are based entirely on transaction behaviour, i.e., how money moved, not who moved it. Confirming the identity of the parties involved will require additional investigation using blockchain tracing tools and cooperation from relevant exchanges or financial institutions.

Additionally, the dataset represents only a partial historical snapshot of Bitcoin transaction activity and may not capture the complete transaction lifecycle of flagged entities.